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ANTA Sports | Asia Pacific

2Q26: Growth Moderated, but Outperformance Continued

Key Takeaways

- Group's 2Q26 retail sales grew 7-8% vs. 16% growth in 1Q26. Adding the 6-month sales realization from Wolfskin, ANTA 1H26 sales growth is tracking midteens%.
- Company highlights lower comp base and favorable Mid-Autumn festival time shift in 3Q26, despite weather disruption in early July and macro uncertainties.
- It targets >10% sales growth for 2026, mainly driven by the niche brands. If achieved, its revenue growth will again top most large-cap consumer names.
- OPM should be stable in 1H26. While ANTA and FILA's blended discount turned deeper in 1H, the overall opex appears well controlled.
- Descente and Kolon's strong growth should benefit OP, although it raises MI too. Strong equity income from Amer Sports would be another bottom-line driver.

ANTA brand grew LSD% in 2Q, with e-com growing low-teens%. Offline discount was at 28% off, flat y/y; e-com discount was at >50% off, down 2ppt y/y, due to longer 6.18 promotions. Channel inventory is stable at 5 months. ANTA thinks the e-com operation adjustment is paying off, and expects online momentum to continue. It maintains LSD% sales growth guidance for 2026, despite MSD% growth in 1H, as it expects macro pressure to persist.

FILA grew LSD% in 2Q (likely ~3%), with online growing low-teens%. It is ranked No.1 in the sportswear industry on both Tmall and Douyin amid 6.18, with several sneaker and polo shirt SKUs ranked in the top 20. While Classic and Kids' offline channel sales declined in 2Q, Fusion delivered growth, driven by more outdoor products. Overall, Anta is confident of FILA's product upgrade since 2025, and sees underlying improvement in marketing and operations. Offline discount was at 27% off, 1ppt deeper y/y; online discount was at 40% off, flat y/y. It maintains a MSD% sales growth target for 2026, and the 1H sales growth is ~6.0-6.5%.

Descente, Kolon and MAIA Active grew >20%, >40% and 25% in 2Q. These niche brands grew 35-40% in 1H. MAIA's offline grew 35% in 2Q, outpacing the online growth for the first time, with more successful store openings. **Jack Wolfskin** targets to make profits for China in 2027 and global markets in 2028. The first batch of new product and stores will debut in Sep/Oct.

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ANTA Sports Products (2020.HK, 2020 HK)

China/Hong Kong Consumer | China

Stock Rating	++	
Industry View	In-Line	
Price target	++	
Up/downside to price target (%)	-	
Shr price, close (Jul 17, 2026)	HK\$74.15	
52-Week Range	HK\$106.30-66.85	
Sh out, dil, curr (mn)	2,921	
Mkt cap, curr (mn)	US\$27,632	
EV, curr (mn)	US\$27,544	
Avg daily trading value (mn)	US\$100	

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (Rmb)**	4.27	4.70	5.13	5.62
Prior EPS (Rmb)**	-	-	-	-
Revenue, net (Rmb mn)	70,826	78,680	85,576	93,086
EBITDA (Rmb mn)	17,837	20,898	22,907	24,770
ModelWare net inc (Rmb mn)	15,596	13,662	14,904	16,336
P/E	13.6	15.4	12.5	11.4
P/BV	3.5	3.1	2.5	2.2
RNOA (%)	29.1	22.4	24.9	27.7
ROE (%)	30.3	22.1	21.8	21.6
EV/EBITDA	11.9	9.7	7.5	6.6
Div yld (%)	3.0	3.4	4.2	4.6
FCF yld ratio (%)	(0.8)	5.0	6.5	7.1
Leverage (EOP) (%)	(9.1)	(17.8)	(26.6)	(34.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

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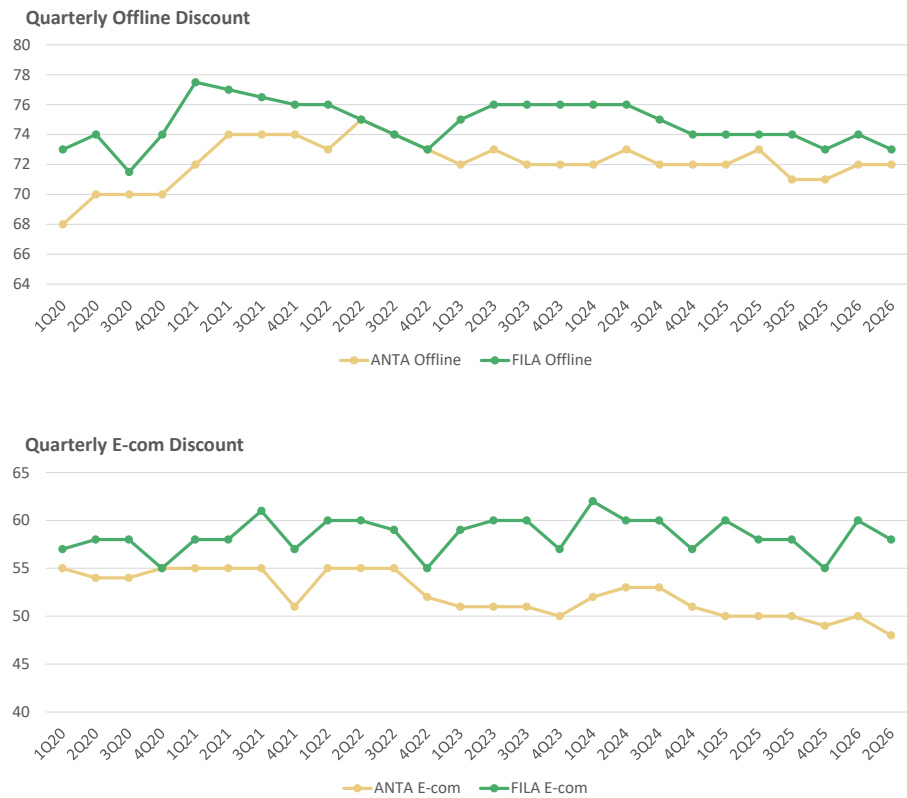
Key Exhibits

Exhibit 1: ANTA: Quarterly sales trends, by brand

	1Q23		2Q23		3Q23		4Q23		1Q24		2Q24		3Q24		4Q24		1Q25		2Q25		3Q25		4Q25		1Q26		2Q26	
	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY	Sales mix	Growth % YoY
ANTA Brand																												
ANTA Brand retail sales growth	100%	5%	100%	8%	100%	7%	100%	18%	100%	5%	100%	8%	100%	5%	100%	9%	100%	7%	100%	2%	100%	3%	100%	-0.5%	100%	8%	100%	2%
ANTA Core Offline	9%		8%		9%		23%		1%		3%		0%		6%		6%		2%		0%		-1%		5%		-2%	
ANTA Kids Offline	6%		9%		9%		28%		-2%		0%		-5%		2%		3%		2%		3%		-4%		8%		-5%	
ANTA Online	-5%		4%		3%		4%		21%		23%		22%		17%		11%		3%		8%		1%		14%		12%	
Other Brands																												
Other Brands retail sales growth	100%		100%		100%		100%		100%		100%		100%		100%		100%		100%		100%		100%		100%		100%	
FILA		9%		18%		11%		26%		9.3%		6%		-1%		9%		9%		7%		3%		6%		11%		3%
Classic Offline	5%		5%		8%		33%		8%		4%		-4%		5%		1%		4%		1%		4%		9%		-3%	
Kids Offline	0%		0%		8%		27%		-15%		-17%		-17%		-2%		4%		3%		2%		-1%		13%		-2%	
Fusion Offline	-9%		-16%		8%		11%		-15%		-7%		-5%		14%		13%		5%		5%		1%		12%		4%	
Online	38%		67%		15%		15%		25%		19%		8%		14%		20%		11%		9%		11%		12%		11%	
Others	78%		72%		47%		57%		29%		43%		45%		51%		69%		55%		46%		38%		42%		28%	
Descente	73%		67%		43%		53%		20%		35%		35%		46%		55%		45%		30%		26%		34%		20%	
Kolon	100%		100%		67%		67%		50%		60%		65%		63%		95%		75%		70%		55%		54%		45%	
MAIA Active																	30%		30%		45%		28%		32%		25%	

Source: Morgan Stanley Research estimates based on the sales range disclosed by the company

Exhibit 2: ANTA: Retail discount for ANTA and FILA brands



Source: Morgan Stanley Research estimates based on the sales range disclosed by the company

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Total	3,668		933			1731	

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$74.15
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.77
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.10
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.30
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$29.00
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$14.95
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$24.08
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.80
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$53.15
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$163.60
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb56.73
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.92
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.61
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.17
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.91
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.50
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.07
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb38.48
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb99.17
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$49.46
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb52.90
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.82
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.10
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb53.39
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb36.00

Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$31.44
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.66
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.74
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$350.00
Super Hi (HDL.O)	E (01/14/2025)	US\$13.33
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb43.85
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb85.30
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.54
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.30
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.90
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$23.70
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb43.19
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb124.43
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$109.80
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb39.95
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.95
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$21.04
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,253.00
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb82.46
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$92.25
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb82.71
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$33.66
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb39.83
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$42.22
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb116.24
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb24.60
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.59
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$44.90
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb52.51
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.61
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.44
WH Group (0288.HK)	O (02/24/2025)	HK\$8.24
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb72.76
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb39.77
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.94
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb26.11
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$43.87
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.67
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$19.06
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.91
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb37.31
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb28.93
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb32.50
Shenzhen International Group Holdings (2313.HK)	O (07/13/2017)	HK\$44.40
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$13.64
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$128.30
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$13.66

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* Historical prices are not split adjusted.